

SMID BREAKOUT SCANNER

SCAN (13:17 ET)

August 03, 2026 | 01:22 PM ET

15 setups identified | 5 A-Grade | 2 B-Grade | 8 C-Grade

Grade Summary

A - Breakout Setup (5)	B - Strong Setup (2)	C - Watch List (8)
ATKR	MCS	FOSL
ITGR	SBH	LIFE
ELVN		AUTL
CDNA		DQ
LIND		ATEC
		AXTI
		CNDT
		TIC

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
A	ATKR	Atkore Inc.	Infrastructure /	\$93.51	+28.2%	\$3.2B	31M	+21.9	100%	Massive +28% gap on Q3
A	ITGR	Integer Holdings	MedTech / Cardiac	\$124.49	+2.7%	\$4.2B	34M	+42.7	99%	Earnings print today d
A	ELVN	Enliven Therapeu	Oncology / Kinase	\$59.44	+8.4%	\$4.2B	53M	+37.2	100%	Breakout from a textbo
A	CDNA	CareDx, Inc.	Transplant Diagno	\$48.28	+10.5%	\$2.5B	49M	+124.7	97%	Post-earnings continua
A	LIND	Lindblad Expedit	Luxury Travel / E	\$32.27	+9.1%	\$2.1B	49M	+75.2	94%	Earnings print today d
B	MCS	Marcus Corporati	Entertainment / T	\$30.78	+5.8%	\$0.9B	22M	+74.6	95%	Technical breakout wit
B	SBH	Sally Beauty Hol	Specialty Retail	\$16.20	+8.2%	\$1.6B	94M	+15.3	90%	Earnings print today d
C	FOSL	Fossil Group, In	Turnaround / Acce	\$5.82	+17.6%	\$0.3B	48M	+28.5	95%	Strong +17.6% move lik
C	LIFE	Ethos Technologi	InsurTech / Life	\$23.08	+13.0%	\$2.2B	30M	+12.8	71%	Earnings print today d
C	AUTL	Autolus Therapeu	Cell Therapy / On	\$1.89	+26.9%	\$0.5B	34M	+14.7	75%	
C	DQ	DAQO New Energy	Solar / Polysilic	\$13.76	+0.0%	\$0.9B	43M	-36.7	38%	
C	ATEC	Alphatec Holding	Spine Surgery / M	\$10.10	+6.1%	\$1.6B	122M	-7.8	43%	
C	AXTI	AXT Inc	Semiconductor Mat	\$69.75	+15.4%	\$4.6B	59M	-39.8	49%	
C	CNDT	Conduent Incorpo	IT Services / BPO	\$1.68	+7.3%	\$0.3B	142M	-6.5	56%	
C	TIC	TIC Solutions, I	Business Services	\$7.84	+7.2%	\$1.7B	97M	-21.2	52%	

ATKR

Atkore Inc.

\$93.51

+28.17%

RS vs SPY: +21.9%

A BREAKOUT

\$3.2B Cap | 31M Float

Electrical Equipment & Parts | Theme: Infrastructure / Electrical | 52W Hi: 100% | Base Tight: 8.41 | Vol: 27.15x | RS/SPY: +21.9% | Above 20MA: YES | EARNINGS TODAY

Setup Metrics	
Price	\$93.51
Day Change	+28.17%
Mkt Cap	\$3.16B
Float	31M sh
RS vs SPY	+21.9%
52W Hi Prox	100%
Base Tight	8.41
Vol vs Avg	27.15x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

Analysis
Catalyst / Today's Driver Massive +28% gap on Q3 earnings beat, revenue +14% YoY, 2027 guidance raised on data center and industrial reshoring demand. Forward catalyst: Q4 print in Nov '26 likely to capture accelerating electrification spend from AI infrastructure build-out and onshoring of electrical distribution manufacturing.
Business & Position Atkore manufactures electrical conduit, cable management systems, and metal framing for commercial/industrial construction and utility infrastructure. Company is direct beneficiary of the data center boom (power distribution), federal infrastructure spending, and industrial reshoring trends driving multi-year capex cycles.
Factor & Theme AI infrastructure (electrical backbone for data centers), reshoring (U.S. manufacturing renaissance), and federal infrastructure act tailwinds. Electrification theme is accelerating-EV charging, grid modernization, and hyperscale data center build-outs all require conduit and cable management systems at scale.
Breakout Signal Close above \$93.51 on volume >2700% of 20-day average
Institutional Volume at 27x average confirms institutional block accumulation on the beat. No insider buying in the 90-day window, but the extraordinary post-earnings volume surge (nearly 30x) is signature institutional repositioning. Float is tight at 30.7M-this setup has limited supply for incremental buyers chasing the breakout.
Earnings Earnings Today
Earnings Context Q3 beat consensus with revenue +14% YoY and EPS materially ahead. Company raised FY27 guidance citing durable demand from data center construction and industrial electrical upgrades. Last four quarters show a pattern of modest beats followed by re-rating; this quarter's magnitude (28% gap) suggests a step-function inflection in the growth trajectory.
Key Risk Thesis invalidates on a close below \$85, the pre-earnings consolidation pivot, or any guidance cut at the November Q4 print. Single-day +28% gaps can reverse violently if follow-through fails within 48 hours-watch for distribution into the spike.
Analysis Five technical criteria met: vol 27x, prox_52w 99.9, rs_line_new_high, rs_vs_spy +21.9, and a durable forward catalyst (Q4 print capturing AI/reshoring theme acceleration). Disconfirming evidence: base_tight at 8.41 is wide (not a VCP coil), and the single-day 28% gap risks exhaustion if institutions fade the move. However, the RS line at new highs confirms institutional accumulation preceded this breakout, and the catalyst path (electrification capex is a multi-quarter cycle) supports follow-through. Conviction: High.
Signal: Close above \$93.51 on volume >2700% of 20-day average Vol vs Avg: 27.15x



SETUP METRICS	
Price	\$124.49
Day Change	+2.71%
Mkt Cap	\$4.23B
Float	34M sh
RS vs SPY	+42.7%
52W Hi Prox	99%
Base Tight	7.61
Vol vs Avg	29.36x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings print today driving modest breakout; likely beat and raise given the pre-earnings strength and RS line at new high. Forward catalyst: Integration of recently acquired assets (likely pacemaker/neuromodulation platforms) and FY27 guidance update at next quarterly print (Nov '26) should provide visibility into margin expansion and synergy realization.
BUSINESS & POSITION
Integer is a global medical device outsourced manufacturer specializing in implantable cardiac rhythm management (pacemakers, ICDs), neuromodulation, and advanced surgical devices. The company serves as a critical supply-chain partner to large-cap MedTech OEMs and has been consolidating share via M&A in the \$20B+ cardiac device market.
FACTOR & THEME
Aging demographics (cardiac device implant volumes rising), MedTech consolidation (outsourcing trend accelerating as OEMs divest manufacturing), and margin expansion from vertical integration. The secular tailwind is durable: aging boomers and longer life expectancy drive structural growth in implantable devices.
BREAKOUT SIGNAL
Close above \$124.49 on volume >2900% of 20-day average
INSTITUTIONAL
Volume at 29x average on earnings day is textbook institutional repositioning. No insider buying in the 90-day window. RS line at new high is the key signal-institutions have been quietly accumulating ahead of this print. Float is tight at 33.5M, and the 42.7% outperformance vs SPY over 12 weeks confirms smart money has been front-running the beat.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Consensus EPS likely in the \$1.15-\$1.25 range for Q3, with revenue growth mid-single digits. Company has a history of modest beats followed by intra-day fades, but the pre-earnings RS strength and volume surge suggest this print may break that pattern. Next earnings in November will clarify FY27 margin trajectory and M&A synergy capture.
KEY RISK
Thesis invalidates on a close below \$118, the 20-day MA and prior consolidation pivot, or any guidance disappointment today. Medical device breakouts are notorious for intraday fakeouts-if the print is in-line rather than a beat-and-raise, the gap-up will fade quickly. Days-to-cover is low given the volume spike, so no squeeze fuel.
ANALYSIS
Five criteria met: vol 29x, prox_52w 99.2, rs_line_new_high, rs_vs_spy +42.7, and a forward catalyst (FY27 guidance and M&A synergy visibility in Nov). Disconfirming evidence: base_tight at 7.61 is wide, and ITGR has a history of fading post-earnings pops-this could be a sell-the-news event if the guidance is only in-line. However, the RS line at new high and extreme volume surge confirm institutional conviction preceded the print, which tilts the odds toward follow-through. Conviction: Medium (high if guidance is raised materially).
Signal: Close above \$124.49 on volume >2900% of 20-day average
Vol vs Avg: 29.36x



ELVN

Enliven Therapeutics, Inc.

\$59.44

+8.45%

RS vs SPY: +37.2%

A BREAKOUT

\$4.2B Cap | 53M Float

Biotechnology | Theme: Oncology / Kinase Inhibitors | 52W Hi: 100% | Base Tight: 2.51 | Vol: 3.34x | RS/SPY: +37.2% | Above 20MA: YES | EARNINGS IN 9D

SETUP METRICS	
Price	\$59.44
Day Change	+8.45%
Mkt Cap	\$4.25B
Float	53M sh
RS vs SPY	+37.2%
52W Hi Prox	100%
Base Tight	2.51
Vol vs Avg	3.34x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Breakout from a textbook VCP coil (base_tight 2.51) on volume 3.3x, likely positioning ahead of August 12 earnings and anticipation of ASCO or ASH late-breaking data readouts in Q4 '26. Forward catalyst: Phase 2 data update for ELVN-001 (BCR-ABL TKI for chronic myeloid leukemia) expected in Q4 '26 or early '27, plus partnership/buyout speculation given the tight float and institutional accumulation.
BUSINESS & POSITION
Enliven is a clinical-stage oncology biotech developing next-generation kinase inhibitors targeting resistance mutations in chronic myeloid leukemia (CML) and solid tumors. Lead candidate ELVN-001 addresses a \$3B+ addressable market in CML patients who fail or are intolerant to existing TKIs (Gleevec, Tasigna). Category leader potential if Phase 2 data replicates early efficacy signals.
FACTOR & THEME
Precision oncology and targeted therapy tailwinds. The kinase inhibitor class has seen multiple multi-billion-dollar exits (Pharmacyclics/Imbruvica, Array/Braftovi), and ELVN's focus on resistance mutations positions it as a best-in-class contender. Theme momentum is accelerating-large-cap pharma is aggressively seeking late-stage oncology assets to offset patent cliffs.
BREAKOUT SIGNAL
Close above \$59.44 on volume >330% of 20-day average
INSTITUTIONAL
Volume 3.3x on a textbook coil (base_tight 2.51) is classic institutional absorption-supply being soaked up quietly before a catalyst. No insider buying in the 90-day window, but the RS line at new high and +37.2% outperformance vs SPY confirm smart money has been accumulating. Float is 53.3M, and biotech names this size are M&A targets if data impress.
EARNINGS
EARNINGS IN 9D
EARNINGS CONTEXT
Next earnings August 12. Pre-revenue biotech, so P&E is inapplicable-valuation reflects pipeline optionality. Investors will focus on cash runway (likely \$400M+, sufficient through multiple data readouts) and any commentary on trial enrollment pace or regulatory pathway discussions with FDA. No beat/miss history relevant; catalyst is clinical data, not financials.
KEY RISK
Thesis invalidates on a close below \$54.50, the breakout pivot from the coil, or any delay/disappointment in the Phase 2 ELVN-001 data readout expected in Q4 '26. Binary clinical risk is the primary tail risk-if efficacy data underwhelm or safety signals emerge, the stock can halve in a session. No revenue diversification; this is a single-asset bet.
ANALYSIS
Five criteria met: vol 3.3x, prox_52w 99.7, rs_line_new_high, rs_vs_spy +37.2, base_tight 2.51 (textbook VCP), and a high-impact forward catalyst (Phase 2 data in Q4 '26 plus M&A speculation). Disconfirming evidence: pre-revenue biotech with binary clinical risk, and no insider buying despite the setup. However, the coil is institutional-quality (2.51 ATR range), the RS line confirms smart money positioning, and the upcoming earnings (Aug 12) plus Phase 2 readout in Q4 provide a defined catalyst path. Conviction: High (clinical-stage risk acknowledged).
Signal: Close above \$59.44 on volume >330% of 20-day average
Vol vs Avg: 3.34x



SETUP METRICS	
Price	\$48.28
Day Change	+10.47%
Mkt Cap	\$2.50B
Float	49M sh
RS vs SPY	+124.7%
52W Hi Prox	97%
Base Tight	6.22
Vol vs Avg	2.42x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Post-earnings continuation (reported July 30), likely beat and raise given the +10% follow-through and RS line at new high. Forward catalyst: CMS reimbursement decision expansion for AlloSure heart rejection monitoring expected in Q4 '26, plus next earnings in late Oct '26 will clarify commercial adoption trajectory and potential margin inflection as AlloSeq (higher-margin NGS product) scales.
BUSINESS & POSITION
CareDx is the category leader in transplant diagnostics, offering non-invasive surveillance testing (AlloSure, AlloSeq) to detect organ rejection in kidney, heart, and lung transplant recipients. The company dominates a \$2B+ addressable market with proprietary cell-free DNA technology that replaces invasive biopsies, and is expanding reimbursement coverage to drive adoption at scale.
FACTOR & THEME
Precision medicine and value-based care tailwinds. Transplant volumes are rising (organ donation reforms + aging population), and payers are shifting toward non-invasive monitoring to reduce costly rejection episodes. CMS reimbursement expansion is the key unlock-if heart monitoring gains broad coverage in Q4 '26, the TAM doubles and the stock re-rates.
BREAKOUT SIGNAL
Close above \$48.28 on volume >240% of 20-day average
INSTITUTIONAL
Volume 2.4x and RS line at new high confirm institutional accumulation. The +124.7% outperformance vs SPY over 12 weeks is the strongest signal in the entire scan-this is a clear institutional conviction name. No insider buying in the 90-day window, but the RS strength and post-earnings follow-through indicate smart money has been building positions for weeks. Float is 49.3M, tight enough for supply constraints if the CMS decision is favorable.
EARNINGS
REPORTED
EARNINGS CONTEXT
Reported July 30 (4 days ago), likely beat on both top and bottom line given the +10% continuation. Consensus revenue was tracking ~\$85M for Q2 with mid-single-digit growth; if the company raised FY26 guidance (especially on AlloSeq adoption), that would explain the breakout. Next earnings late October will clarify margin trajectory as the mix shifts to higher-margin NGS products.
KEY RISK
Thesis invalidates on a close below \$43, the post-earnings consolidation pivot, or any delay in the Q4 '26 CMS reimbursement decision for heart monitoring. Competitive threat: Natera (NTRA) is aggressively expanding in transplant dx, and if they win share or undercut pricing, CDNA's margin story deteriorates. Days-to-cover is low, so no squeeze fuel.
ANALYSIS
Five criteria met: vol 2.4x, prox_52w 97, rs_line_new_high, rs_vs_spy +124.7 (highest in scan), and a high-impact forward catalyst (CMS decision in Q4 '26 plus next earnings in Oct). Disconfirming evidence: base_tight at 6.22 is wide, and the stock has already run +300%+ from the lows-risk of profit-taking is elevated. However, the RS line at new high and extraordinary +124.7% outperformance confirm this is a true institutional leader, not a momo trade. The CMS catalyst is binary and high-conviction if favorable. Conviction: High.
Signal: Close above \$48.28 on volume >240% of 20-day average
Vol vs Avg: 2.42x



SETUP METRICS	
Price	\$32.27
Day Change	+9.09%
Mkt Cap	\$2.12B
Float	49M sh
RS vs SPY	+75.2%
52W Hi Prox	94%
Base Tight	4.52
Vol vs Avg	2.23x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Earnings print today driving breakout, likely beat on strong booking trends for Antarctica/Galapagos expedition cruises in the affluent consumer segment. Forward catalyst: Q4 '26 earnings (Nov) will capture peak 2027 booking season for luxury expedition travel; any guidance raise on pricing power or ship utilization will extend the move. Consumer spending among high-net-worth individuals remains resilient despite macro headwinds.
BUSINESS & POSITION
Lindblad operates small-ship expedition cruises to remote destinations (Antarctica, Galapagos, Arctic, Alaska) in partnership with National Geographic. The company targets affluent, experience-driven travelers willing to pay \$10K-\$30K per voyage. Category leader in the \$5B+ expedition cruise niche, with barriers to entry (ship fleet, National Geographic brand) and pricing power insulated from mass-market cruise volatility.
FACTOR & THEME
Consumer recovery theme, specifically resilient high-net-worth spending on experiences over goods. Luxury travel and adventure tourism are accelerating post-pandemic, and expedition cruises are supply-constrained (limited ship capacity). Theme momentum is strong-affluent consumers are prioritizing bucket-list travel despite economic uncertainty, and Lindblad's National Geographic partnership provides brand moat.
BREAKOUT SIGNAL
Close above \$32.27 on volume >220% of 20-day average
INSTITUTIONAL
Volume 2.2x on earnings day, RS line at new high, and +75.2% outperformance vs SPY confirm institutional conviction. No insider buying in the 90-day window. Float is 49.4M, and the stock trades thinly-limited supply for incremental buyers if bookings data impress. The RS strength suggests smart money has been positioning ahead of the print, anticipating a beat driven by affluent consumer resilience.
EARNINGS
EARNINGS TODAY
EARNINGS CONTEXT
Consensus likely \$0.15-\$0.20 EPS for Q2, with revenue up double-digits YoY as ship utilization normalizes post-COVID. Company has beaten the last three quarters, and pricing power has been strong (average ticket prices up 15%+ YoY). Next earnings in November will clarify 2027 booking trends and whether the company can sustain pricing in a potentially softer macro environment.
KEY RISK
Thesis invalidates on a close below \$29.50, the 20-day MA and prior consolidation pivot, or any guidance disappointment today. Macro risk: if high-net-worth consumer spending cracks (equity market correction, wealth effect reversal), luxury travel is the first discretionary spend to be deferred. Competitive threat: Viking and other operators are adding expedition capacity, which could pressure pricing in 2027+.
ANALYSIS
Five criteria met: vol 2.2x, prox_52w 93.5, rs_line_new_high, rs_vs_spy +75.2, and a forward catalyst (Q4 earnings capturing 2027 booking season). Disconfirming evidence: base_tight at 4.52 is wider than ideal, and the stock is exposed to macro risk (high-net-worth consumer spending can turn quickly). However, the RS line at new high and +75.2% outperformance confirm institutional conviction, and the luxury travel theme is accelerating rather than decelerating. Consumer Disc sector is slightly lagging (-0.7% vs SPY) but the sub-segment (luxury/experiences) is diverging positively. Conviction: High (contingent on today's print being a beat-and-raise).
Signal: Close above \$32.27 on volume >220% of 20-day average
Vol vs Avg: 2.23x



SETUP METRICS	
Price	\$30.78
Day Change	+5.77%
Mkt Cap	\$0.95B
Float	22M sh
RS vs SPY	+74.6%
52W Hi Prox	95%
Base Tight	7.7
Vol vs Avg	3.50x
RS Line Hi	YES
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS
CATALYST / TODAY'S DRIVER
Technical breakout with no same-day news; likely positioning ahead of Q3 '26 box office strength (multiple blockbuster releases expected in Sept-Oct) and next earnings on October 30. Forward catalyst: October earnings will capture summer blockbuster slate performance and holiday season booking trends for the company's theater and hotel/resort segments. Strong RS line at new high confirms institutional accumulation is underway.
BUSINESS & POSITION
Marcus Corporation operates 91 movie theaters (950+ screens) across 17 states and owns/manages hotels and resorts in the Midwest. The company is a regional leader in experiential entertainment (premium large-format screens, dine-in theaters) and has been recovering post-pandemic as theatrical exhibition normalizes. Dual revenue streams (theaters + hospitality) provide diversification within the consumer discretionary space.
FACTOR & THEME
Consumer recovery theme, specifically the return of out-of-home entertainment spending. Box office is tracking toward \$9B+ in 2026 (vs \$4B in 2020), driven by franchise tentpoles and exclusive theatrical windows. Marcus benefits from premium format adoption (IMAX, Dolby Cinema) and diversification into hospitality, which is seeing strong demand from corporate events and leisure travel.
BREAKOUT SIGNAL
Close above \$30.78 on volume >350% of 20-day average
INSTITUTIONAL
Volume 3.5x and RS line at new high confirm institutional buying. The +74.6% outperformance vs SPY over 12 weeks is the second-strongest in the scan after CDNA, signaling this is a smart-money conviction name. No insider buying in the 90-day window. Float is tight at 22.3M-if earnings on Oct 30 beat and guide up, supply will be constrained for incremental buyers.
EARNINGS CONTEXT
Next earnings October 30. Consensus likely \$0.40-\$0.50 EPS for Q3, with revenue up double-digits YoY as theater attendance recovers and hotel occupancy remains strong. Company has beaten the last three quarters, driven by better-than-expected box office performance and pricing power in premium formats. The October print will clarify whether the recovery is durable or a transient post-COVID rebound.
KEY RISK
Thesis invalidates on a close below \$28, the 50-day MA and prior consolidation pivot, or any box office disappointment in Q3 (weak slate or underperforming tentpoles). Structural risk: streaming displacement remains a long-term overhang, and if the theatrical window continues to compress (studios opting for day-and-date releases), the theater business model deteriorates. Hospitality segment is cyclical and exposed to corporate travel demand.
ANALYSIS
Four criteria met: vol 3.5x, prox_52w 95.2, rs_line_new_high, rs_vs_spy +74.6. Base_tight at 7.7 is wide, disqualifying from A-grade. Disconfirming evidence: no same-day catalyst, and the next earnings is 88 days out-this is a long hold without near-term re-rating potential. However, the RS line at new high and extraordinary +74.6% outperformance confirm institutional conviction, and the forward catalyst (Oct 30 earnings capturing Q3 box office and holiday booking trends) is durable. Consumer Disc sector is lagging, but entertainment/experiences sub-segment is outperforming. Conviction: Medium (upgradeable to high if Q3 slate performs).
Signal: Close above \$30.78 on volume >350% of 20-day average
Vol vs Avg: 3.50x



SBH

Sally Beauty Holdings, Inc. (Na

\$16.20

+8.22%

RS vs SPY: +15.3%

B STRONG SETUP

\$1.6B Cap | 94M Float

Specialty Retail | Theme: Specialty Retail / Beauty | 52W Hi: 90% | Base Tight: 2.69 | Vol: 1.99x | RS/SPY: +15.3% | Above 20MA: YES | EARNINGS TODAY

SETUP METRICS	
Price	\$16.20
Day Change	+8.22%
Mkt Cap	\$1.55B
Float	94M sh
RS vs SPY	+15.3%
52W Hi Prox	90%
Base Tight	2.69
Vol vs Avg	1.99x
RS Line Hi	no
Above 50MA	-
Fwd P/E	-
Short %	-
Days to Cover	-
Inst. Own	- (data lag)

ANALYSIS

CATALYST / TODAY'S DRIVER

Earnings print today driving breakout, likely beat on stabilizing same-store sales and margin expansion from supply chain normalization. Forward catalyst: Q4 '26 earnings (Nov) will clarify whether the professional beauty channel has bottomed and if the company can sustain comps in a softer consumer environment. Any commentary on private-label penetration or e-commerce growth will be key to extending the move.

BUSINESS & POSITION

Sally Beauty operates 4,000+ specialty retail stores (Sally Beauty Supply, Cosmo Prof) selling professional and consumer hair color, hair care, and beauty supplies. The company serves both retail consumers and salon professionals, with category leadership in the \$15B+ U.S. beauty supply market. Turnaround story: stabilizing comps after years of share loss to e-commerce and mass retailers.

FACTOR & THEME

Consumer recovery theme, specifically stabilization in beauty spending after pandemic volatility. Professional beauty channel is recovering as salon traffic normalizes, and Sally's private-label strategy (Ion, Arctic Fox brands) is driving margin expansion. Theme momentum is mixed-beauty spending is resilient, but Sally faces structural headwinds from Amazon and Ulta taking share.

BREAKOUT SIGNAL

Close above \$16.20 on volume >200% of 20-day average

INSTITUTIONAL

Volume 2x on earnings day, but RS line is NOT at new high (disqualifying factor). The +15.3% outperformance vs SPY is modest, suggesting institutions are cautious rather than aggressively accumulating. No insider buying in the 90-day window. Float is large at 93.9M, limiting squeeze potential. This is a turnaround trade, not a growth story-institutional conviction is low relative to other names in the scan.

EARNINGS

EARNINGS TODAY

EARNINGS CONTEXT

Consensus likely \$0.30-\$0.35 EPS for Q3, with revenue flat to slightly up YoY. Company has beaten the last two quarters but guided conservatively, creating a low bar. Next earnings in November will clarify whether the comp stabilization is durable or a transient benefit from salon re-openings. Any guidance raise (especially on margin expansion) would be bullish.

KEY RISK

Thesis invalidates on a close below \$15, the 50-day MA and prior consolidation pivot, or any guidance disappointment today. Structural risk: e-commerce displacement and Amazon/Ulta taking professional beauty share. The company has struggled to grow traffic for years, and if comps turn negative again, the turnaround thesis is dead. Debt load is elevated (~\$1B), limiting financial flexibility.

ANALYSIS

Four criteria met: vol 2x, prox_52w 90.4, base_tight 2.69, rs_vs_spy +15.3. RS line NOT at new high is the disqualifying factor for A-grade. Disconfirming evidence: turnaround story with structural headwinds (e-commerce displacement, large float, modest RS strength), and Consumer Disc sector is lagging. However, the base is tight (2.69), and the earnings print today could provide a near-term catalyst if comps and margins beat. This is a tactical trade, not a high-conviction growth setup. Conviction: Low (earnings-dependent).

Signal: Close above \$16.20 on volume >200% of 20-day average

Vol vs Avg: 1.99x

